

**BEFORE THE PUBLIC UTILITIES COMMISSION
OF THE STATE OF CALIFORNIA**



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Order Instituting Rulemaking to Update
Distribution Level Interconnection
Rules and Regulations.

Rulemaking 25-08-004
(Filed August 14, 2025)

**COMMENTS OF THE VEHICLE-GRID INTEGRATION COUNCIL ON THE
ASSIGNED COMMISSIONER'S SCOPING MEMO AND RULING**

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ASSIGNED COMMISSIONER’S SCOPING MEMO AND RULING**

In accordance with the Rules of Practice and Procedure of the California Public Utilities Commission (“Commission”), the Vehicle-Grid Integration Council (“VGIC”) hereby submits these comments on the *Assigned Commissioner’s Scoping Memo and Ruling* (“Scoping Memo”), issued by President Alice Reynolds on March 3, 2026, as modified by the *Email Ruling Granting Extension for Comments, Motion to Late File NOI, and Motions for Party Status* issued by Administrative Law Judge Andrew Dugowson.

I. INTRODUCTION.

VGIC appreciates the opportunity to provide comments in response to the Scoping Memo regarding the update to distribution-level interconnection rules and regulations and, specifically, to address the questions in Appendix A. VGIC strongly supports the Commission’s intent to modernize Rule 21 and to ensure that interconnection timelines and application fees remain efficient, transparent, affordable, and equitable as California transitions to greater use of distributed energy resources (“DER”). VGIC commends Energy Division staff and the Commission for prioritizing the critical issue of interconnection application fees for small non-NEM customers, as the current fee has an outsized impact on the emerging small bidirectional charging system market. Accordingly, VGIC offers several recommendations in response to the Scoping Memo questions.

II. INTERCONNECTION TIMELINE QUESTIONS

1. Should the Commission take measures to modify the interconnection [timeline] rules and requirements established for IOUs' in D.20-09-035? If so, what measures do you recommend? Include in your response answers to the following questions:

- i. Are the timelines in D.20-09-035 reasonable? What data or information are available to support whether they are or are not reasonable?**

VGIC does not have a position on this topic at this time but may provide additional information in reply comments.

- ii. Should the Commission modify the benchmarks, timelines, metrics and reports established by D.20-09- 035, Ordering Paragraph (OP) 22? If yes, describe why the modifications are reasonable and how they protect ratepayers and support California's climate goals.**

Yes. Specifically, the Commission should direct the IOUs to modify the "Technology Types" listed in their D.20-09-035 OP 22 quarterly interconnection timeline reports to include clear identifiers for DC Bidirectional Charging Systems, AC Bidirectional Charging Systems, and combinations of DER pairings with these systems (e.g., V2X DC + Solar PV, V2X AC + Storage, V2X DC + Solar + Storage, etc.). D.20-09-035 OP 22 details the timelines and metrics that the IOUs must report on, and OP 28 details that all systems other than NEM systems <30 kW shall be subject to interconnection timeline targets (and, subsequently, the quarterly timelines reporting directed in OP 22). However, neither OP 22 nor OP 28 considers the "Technology Types" data field to be collected and reported for each interconnection request. Currently, IOUs apply unclear treatment for certain technology types in their quarterly interconnection timeline reports. For example, PG&E's latest report identifies some projects as "Storage – EVSE" or

“Storage – EV.”¹ Presumably, these identify DC and AC bidirectional charging systems, although, based on VGIC’s interpretation of the reporting materials, that is not explicitly defined. Meanwhile, the latest *aggregated* report lists only “Battery Storage” and “Solar PV & Battery Storage.” Presumably, the many “Storage – EVSE” sites identified in PG&E’s latest report or the “Electric Vehicle-to-X– DC” identifier used in SCE’s latest report are accounted for as “Battery Storage” in the latest aggregated report. However, this, too, is not detailed. For those seeking to understand the interconnection timelines facing bidirectional charging customers, these inconsistencies – namely, grouping bidirectional charging systems in with all other reported energy storage systems – greatly limit the usefulness of this reporting. If the Commission, Energy Division staff, the IOUs themselves, VGIC, or another stakeholder were seeking transparent information on how long it has taken to interconnect all or a subset of bidirectional charging system configurations (i.e., to recommend future enhancements to interconnection rules and processes), it would be challenging to identify differences or determine which steps pose the primary obstacles. VGIC posits that this will not be considered a major revision by IOUs and does not anticipate it will be a contested issue among the parties. Further, VGIC does not aim to create any needless friction or undue burden in an already rather onerous portfolio of IOU reporting. Nonetheless, we respectfully urge the Commission to direct utilities to clearly detail and delineate DC and AC bidirectional charging systems in the “Technology Types” field of both their individual and consolidated reporting to make the data useful to stakeholders. For example, the following terms could be used:

- DC Bidirectional Charging System
 - DC Bidirectional Charging System – PV

¹ See e.g., PG&E Interconnection Timeline Report Q4 2025, January 30, 2026.

- DC Bidirectional Charging System – Storage
- DC Bidirectional Charging System – PV, Storage
- AC Bidirectional Charging System
 - AC Bidirectional Charging System – PV
 - AC Bidirectional Charging System – Storage
 - AC Bidirectional Charging System – PV, Storage

Alternatively, the terms “DC Bidirectional Charging System” and “AC Bidirectional Charging System” could appear as “Storage – EVSE” and “Storage – EV”, as PG&E already provides. Another alternative could be to use the terms “Electric Vehicle-to-X–DC” and “Electric Vehicle-to-X– AC”, which appear in SCE’s reporting.² **Ultimately, VGIC does not have a preference regarding whether all three IOUs use the same language, but rather that they all provide a *clear, easily interpretable* indication so that the Commission, Energy Division staff, the IOUs themselves, and other parties can make use of the data.**

iii. Should the Commission update the list of projects eligible for the timelines? What type of projects and/or resources (e.g., projects with deliverability and power purchase agreements with load serving entities) should be eligible for the timelines?

D.20-09-035 OP 28 details that systems other than <30 kW NEM systems are currently eligible for the timelines and, subsequently, the quarterly timeline reporting. Based on VGIC’s understanding, most bidirectional charging customers are, therefore, already eligible for timelines and associated reporting. However, it is unclear whether bidirectional charging systems that are taking service and interconnecting under the Net Energy Metering Multiple Tariff (“NEM-MT”) are eligible for timelines and associated reporting. Based on our interpretation of the quarterly interconnection reporting, it appears

² SCE uses the phrasing “Electric Vehicle-to-X– DC” and “Electric Vehicle-to-X– AC” in its quarterly reporting.

that NEM-MT sites above 30 kW are listed, but those under 30 kW are not.³ **VGIC therefore requests the Commission clarify that bidirectional charging sites taking service under NEM-MT, regardless of size, are eligible for timelines and reporting.** Similar to the recommendation in response to question 1.ii above, VGIC believes that enhanced reporting on bidirectional charging systems will significantly improve stakeholders' ability to understand the areas of friction across various bidirectional charging configurations and, in turn, support sound policymaking. VGIC estimates roughly 50-70% of early adopters of bidirectional charging systems will also have a rooftop solar system and, as a result, NEM-MT installations may become increasingly common for these customers.

- iv. **Should the Commission consider the proposals in party comments to add additional timelines? If so, what data should the utilities use to determine the timelines? What type of projects would require this work?**

VGIC does not have a position on this topic at this time but may provide additional information in reply comments.

- v. **Should the Commission re-consider how the 95% compliance benchmark set by D.20-09-035, OP 28 is evaluated? Are there alternative compliance benchmarks or mechanisms the Commission should consider to supplement and/or replace the 95% compliance benchmark?**

VGIC does not have a position on this topic at this time but may provide additional information in reply comments.

³ California Public Utilities Commission. *Electric Rule 21: Generating Facility Interconnections. Rule 21 Interconnection Timeline Reporting. All IOUs – R21 Timelines Report*. <https://www.cpuc.ca.gov/Rule21/>. Accessed April 28, 2026. https://www.cpuc.ca.gov/-/media/cpuc-website/divisions/energy-division/documents/rule21/all_iou-r21timelinesreport_202204.xlsx

vi. How could the overall timelines compliance and reporting process be simplified and improved?

VGIC generally supports simplifying and improving the compliance and reporting process. However, this must be balanced with the need to maintain transparency such that reporting can effectively inform policymaking. At a minimum, VGIC believes that the compliance and reporting process must functionally support a stakeholder in identifying the areas of friction in the interconnection process for different technology types (including DC Bidirectional Charging Systems, AC Bidirectional Charging Systems, and either of these configurations paired with other DER(s)), site sizes, and tariffs (e.g., NEM-MT vs non-NEM). This identification could conceivably be accomplished through a process simpler than the one currently in place. VGIC looks forward to further collaboration with the Commission and stakeholders on any efforts to simplify and streamline timelines reporting without compromising its usefulness.

vii. Should the Commission adopt any of the proposals presented by parties for timeline compliance mechanisms? If so, provide a detailed description of how the proposal should be implemented. What are the drawbacks and merits of the proposals provided?

VGIC does not have a position on this topic at this time but may provide additional information in reply comments.

III. INTERCONNECTION FEE QUESTIONS.

- 1. Utilities currently charge all non-NEM resources a flat interconnection fee of \$800, regardless of the size or type of resource. The IOUs also, under certain circumstances, conduct and charge the applicant a fee for a Supplemental Review.**

- 2. The IOUs shall, and other parties may, address the following question: What are the costs associated with interconnecting non-NEM resources? Does the current \$800 interconnection fee cover these costs? If the costs vary based on certain characteristics (e.g., generating technology or project size), separate your responses into the appropriate buckets. If the data are not available, what steps are necessary to collect this data?**

VGIC does not have cost data for non-NEM systems beyond what utilities currently report. However, VGIC recommends that the utilities provide interconnection cost data broken down by project size as follows: systems < 30 kW, 30 kW – 1 MW, and > 1 MW. Based on the Q2 2025 Interconnection Discussion Forum, the relative complexity of interconnection applications (and therefore processing costs) appears to be directly correlated with project size. Therefore, if the utilities do not provide costs broken down by project size, the Commission should seek to quickly enable the collection of this data.

3. Should the Commission order utilities to update the interconnection fees?

Yes, as VGIC has discussed in this proceeding and prior venues (e.g., Interconnection Discussion Forum), the California IOUs have the highest interconnection application fee for small non-NEM systems in the country. The \$800 fee was set in a decision over two decades ago and warrants an update. The Commission has acknowledged that this update is needed, including in the previous Rule 21 proceeding (R.17-07-007), and the time to address this issue is now. Further delay risks significantly restricting California's ability to leverage small non-NEM systems, including bidirectional charging solutions, to support the grid. The Commission's substantial investments in dynamic rate pilots, emergency reliability programs, V2X Pilots, and related efforts to unlock bidirectional charging solutions and other small non-NEM DERs have collectively tapped hundreds of millions of dollars in ratepayer funds. These efforts are directly and severely undercut by the exceedingly high interconnection application fee for small non-NEM systems. Notably, today's non-NEM bidirectional charging systems are similar in size to and leverage the

same UL safety standards as small NEM systems. In some cases, *the same inverter model* is even deployed for both emerging small non-NEM bidirectional charging products and actively-deployed, interconnected small NEM systems.

i. If so, how should the Commission order to calculate the new fee schedules, and what data are necessary to calculate those fees?

VGIC posits that the IOUs do not yet have sufficient cost data on interconnecting small, non-NEM bidirectional charging systems to support the calculation of a new fee schedule for these systems. In the long term, the IOUs should closely track this cost data, file a joint report in this or a successor interconnection proceeding (on which the Assigned Commissioner or ALJ should request party comments), and then, via joint Advice Letter, request a new interconnection application fee for small non-NEM systems. The report, comment period, and subsequent Advice Letter should be triggered by surpassing 10,000 total completed small non-NEM bidirectional charging system interconnection applications across all three IOUs, as reported in D.20-09-035 OP 22 reports.

In the interim, VGIC strongly recommends that the Commission set the interconnection application fee for small non-NEM bidirectional charging systems equal to the interconnection fee currently in place for small NEM systems. VGIC believes this interim approach is reasonable, as it avoids overly penalizing customers engaging in the relatively nascent bidirectional charging market. This proposal also offers a built-in risk-containment mechanism, as only the first approximately 10,000 customers would receive this treatment.

ii. Should the Commission order utilities to charge fees that more closely represents the actual cost of a given application?

VGIC believes it is ideal for utilities to have application fees that more closely reflect the actual costs of reviewing these applications. However, these fees should also be reasonable and predictable for customers, and newer technologies should not be overly penalized. For example, the IOUs have processed only a handful of Rule 21 applications for bidirectional charging systems in the last few years, and only in 2025-2026 have residential bidirectional charging systems received Permission to Operate.⁴ Given that small, non-NEM bidirectional charging systems are a relatively nascent market, the time and costs for application review may be higher than they will be once the utilities gain familiarity and expertise with bidirectional charging systems. VGIC anticipates that this can happen relatively quickly, since bidirectional charging systems are similar to stationary storage devices (as outlined extensively by the Commission in D.20-09-035), but these early deployments should not be overly penalized. Therefore, VGIC does not believe that, in the long term, application fees should differ between technology types. Instead, all projects of similar size should eventually pay the same application fee, even if other interim approaches are used until the Commission can confirm, through IOU reporting, that the application review costs are, in fact, similar across these projects.

IV. CONCLUSION.

VGIC appreciates the opportunity to provide these comments on the Scoping Memo. We look forward to further collaboration with the Commission and stakeholders on this initiative.

⁴ See e.g., PG&E Interconnection Timeline Report Q4 2025, January 30, 2026.

Respectfully submitted,

/s/ Zach Woogen

Zach Woogen

Executive Director

VEHICLE-GRID INTEGRATION COUNCIL

Date: April 30, 2026